

Mortgage Loan Conditions in Iran (Bank Maskan - Housing Bank)

:Loan Amount Limits .1

- .The maximum mortgage loan for housing in Tehran is 600,000,000 IRR (approximately \$1,800 - USD at current exchange rates)
- .For other provinces, the maximum loan amount is 450,000,000 IRR -
- .The loan amount depends on the property value, location, and the borrower's income -

:Interest Rates .2

- .The current interest rate for mortgage loans is 18% per annum (fixed rate) -
- .This rate is determined by the Central Bank of Iran and may change periodically -
- .Interest is calculated on a reducing balance basis -

:Repayment Period .3

- .The maximum repayment period is 20 years (240 months) -
- .The minimum repayment period is 5 years (60 months) -
- .Borrowers can choose their preferred repayment term, provided they meet the age requirements -

:Age Requirements .4

- .Minimum age of the borrower: 25 years old -
- .Maximum age at the time of final repayment: 60 years old -
- .If the borrower is married, the spouse's age is also considered -

:Collateral and Guarantee .5

- .The property being purchased serves as the primary collateral -
- .A reliable guarantor (with sufficient income and assets) is required -
- .The guarantor must be employed or have a stable source of income -
- .The guarantor's monthly income must be at least 2 times the monthly loan installment -

:Required Documents .6

- .National ID card (original and copy) -
- .Birth certificate (original and copy) -
- .Recent passport-sized photos (2 copies) -
- .Proof of employment or income (salary slips for the last 6 months) -
- .Tax clearance certificate (if applicable) -
- .Marriage certificate (if married) -
- .Property purchase agreement or pre-sale contract -
- .Property valuation report from an official appraiser -

:Loan-to-Value Ratio .7

- .The bank covers up to 80% of the property's appraised value -
- .The borrower must provide at least 20% of the purchase price as a down payment -

:Credit History .8

- .Borrowers must have a clean credit record with no history of default -

- .Existing loans or debts must not exceed 30% of the borrower's monthly income -
- .A credit check is performed through the Central Bank's credit bureau -

:Application Process .9

- .Submit the application at any Bank Maskan branch -
- .The bank reviews the application and documents within 15 business days -
- .Property valuation is conducted by the bank's appraiser -
- .Final approval is given within 30 days from submission -
- .Disbursement of funds occurs after the property deed is officially transferred -

:Prepayment and Penalties .10

- .Borrowers can repay the loan early without penalty after 3 years -
- .Prepayment before 3 years incurs a penalty of 2% of the remaining balance -

:Insurance Requirements .11

- .The property must be insured against fire, earthquake, and other natural disasters -
- .Life insurance covering the loan amount is mandatory for the borrower -

:Special Conditions for First-Time Buyers .12

- .First-time home buyers are eligible for a 0.5% discount on the interest rate -
- .They also receive priority in loan approval -
- .The down payment requirement is reduced to 15% for first-time buyers -

:Joint Loans .13

- .Married couples can apply for a joint mortgage loan -
- .The combined income of both spouses is considered for the loan amount -
- .Both parties are equally responsible for repayment -

:Refinancing .14

- .Refinancing existing mortgage loans is possible after 2 years of regular payments -
- .The new loan rate will be based on current market conditions -

:Late Payment Penalties .15

- .A penalty of 1% per month is charged on overdue installments -
- .After 3 months of non-payment, the bank may initiate legal action to seize the property -

This information is based on the official regulations of Bank Maskan (Housing Bank of Iran) and the Central Bank of Iran as of 2025. For the most up-to-date terms, please consult the bank's official website or visit a branch in person